Nykaa (FSN E-Commerce Ventures Ltd): Concall Tracker

Screener ticker NYKAA | BSE 543384 | Quarter folder Q1-2027 | Builds on the Q4-2026 report | Newest call read: Q1 FY27 (4 Aug 2026)

Two questions: (1) Is there a durable **earning trigger** in the business? (2) Has **management been consistent** about it over time? This edition continues the Q4-2026 report and deep-reads only the new Q1 FY27 call.

1. Snapshot

What it does: Nykaa is India's largest online-first beauty and fashion retailer. It sells other companies' beauty and fashion products through its app, website and 324 stores; builds and sells its own brands (House of Nykaa: Dot & Key, Kay Beauty, Nykaa Cosmetics and others); supplies small shops through a business-to-business arm (Superstore); and runs a fashion marketplace. It earns the margin on goods sold, advertising income from brands, and the richer margin on its own brands.

Measure	Figure	Plain-English read
Market value	~Rs 1,01,000 cr	What the whole company is worth on the stock market (Screener, share price ~Rs 353).
Net revenue, Q1 FY27 (Apr–Jun 2026)	Rs 2,782 cr (+29%)	Group sales for the quarter, up 29% on a year ago: faster than the 23% growth of the same quarter last year.
GMV, Q1 FY27	Rs 5,590 cr (+34%)	Full value of everything sold on its platforms before returns and discounts: the "size of the shop-front".
Operating profit (EBITDA = profit before interest, tax, depreciation), Q1 FY27	Rs 236 cr (+68%), margin 8.5%	Profit from running the business grew more than twice as fast as sales; the margin rose ~2 points from 6.5% a year ago.
Net profit (PAT), Q1 FY27	Rs 80 cr (+226%), margin 2.9%	Bottom-line profit more than tripled, but still under 3 rupees of profit per 100 of sales: thin.
Return on capital employed (ROCE)	26.8%	Profit earned on the money tied up in the business: up from 12.7% a year earlier (management figure).
Valuation	Very high	The share price already assumes many years of fast profit growth; Screener's headline P/E uses the tiny standalone parent and is not meaningful.

All operating figures are consolidated, as stated by management on the Q1 FY27 call. Screener's headline tables show the standalone parent only.

2. Concall coverage

Quarter(s)	Date	Transcript read?
Q4 FY22 → Q3 FY26 (16 calls)	May 2022 – Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary call)	21 May 2026	Carried forward from the Q4-2026 report
Q1 FY27	**4 Aug 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this quarter; the four-year backstory comes from the prior report. Calls after 30 Sep 2026 are excluded from this edition.

★ Latest concall highlights: Q1 FY27 (call held 4 Aug 2026)

- **Growth sped up again.** Revenue +29% and GMV +34%, with both beauty (+29% net sales) and fashion (+54% net sales) accelerating. *Read: it's speeding up even at a bigger size.*
- **Profit keeps outrunning sales.** EBITDA +68% to an 8.5% margin; net profit +226%. Beauty margin reached 10.3% (from 9.0%). *Read: the operating-leverage story from last quarter continued in the very next quarter.*

- **Fashion stayed profitable** for a second straight quarter (EBITDA ~+0.1%), helped by a 30% lower customer-acquisition cost over two years and early traction from running Nike's India app and website. *Read: the old drag on group profit is now neutral.*
- **Owned brands +36%** and a new acquisition: Nykaa is buying 51% of Aminu, a small premium skin-care brand (Rs 19 cr FY26 revenue), with the rest over the next few years.
- **Tone: confident.** Long-term fashion goal of 3–3.5x growth over 4–5 years re-affirmed; Superstore still aims for 35%+ growth on its FY30 path. Quick delivery (Nykaa Now) in 13 cities, targeting 25+ by end FY27, without margin dilution so far.

Business mix & capacity
Domestic vs export: essentially all sales are in India; overseas is limited to small experiments (a Gulf joint venture, Kay Beauty in the UK). No split given on the call. *Read: a pure India-consumption business.*
Capacity: It's an asset-light retailer with no factories, so no utilisation figure. Store count 324 across 105 cities (11 added in the quarter); capital employed rose only to Rs 2,211 cr over three years. *Read: it grows without heavy fixed investment, which is why returns keep rising.*

★ **Since our last report**: builds on the Q4-2026 report (boundary call 21 May 2026). Prior verdicts: trigger **YES**, consistency **YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Profit inflection: profit growing far faster than sales as investment tapers	EBITDA +68% on revenue +29%; margin 6.5% → 8.5% year on year	Confirmed
Consistency: YES	Same story for four years; central promise delivered	Same story, same pillars; long-term goals restated, not changed	Confirmed
Promise: fashion stays profitable after first positive quarter	Q4 FY26 was the first positive quarter (+0.3%)	Q1 FY27 also positive (~+0.1%), with growth jumping to 54%	On-track
Promise: owned brands keep scaling	House of Nykaa GMV ~+50% in FY26	+36% net sales growth; Aminu acquisition adds premium skin care	On-track
Risk flagged: oil prices, weak rupee, inflation in FY27	Founder flagged macro risks but said Apr–May strong	No slowdown visible; growth accelerated	Improving

Verdict change this quarter: both verdicts **unchanged**: the new call backs up the profit story, no new pitch.

3. Earning-trigger thesis

The trigger is still the profit inflection, and it got stronger. Sales growth is holding up and even rising. The higher-margin bits, mainly its own brands and a fashion arm that now makes money, keep pulling group margin up. In Q1 FY27 operating profit grew 68% on 29% sales growth, and return on capital roughly doubled in a year. One new watch-point: part of fashion's jump comes from the Nike partnership, which enters the comparison base from late FY27, so fashion growth may cool then.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Operating leverage	Scale and AI-driven efficiency let profit grow faster than sales	EBITDA margin 8.5% vs 6.5%; PAT +226%	Now	**Strong**	↑ improving: margin stepped up again
Owned brands (House of Nykaa)	Higher-margin brands; fill premium skin-care gap	+36% net sales; Dot & Key ~Rs 1,300 cr run-rate; Aminu bought	Multi-year	**Strong**	unchanged
Fashion profitability	Structural fix via lower acquisition cost and scale	Second profitable quarter; marketing cost down 5.3 points	Now	**Moderate**	↑ improving: repeat, not a one-off

Superstore (B2B)	35%+ growth path to FY30	+28% net sales; EBITDA up 3+ points	2–4 yrs	**Moderate**	unchanged: growth still below the stated path
Core beauty penetration + premiumisation	More customers and bigger baskets	20M+ annual buyers; order value +5%; stores growing double digits like-for-like	Ongoing	**Strong**	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY22–FY23	Diversify beyond beauty; margins to expand once investment ends	Verticals scaled, but profit fell while spending stayed high	Partly
FY24	Fashion losses to shrink; owned brands to scale	Both on track	Delivered
FY25	Fashion "well on its path"	Fashion stumbled; management admitted it	Partly
FY26	Fashion to breakeven; record margins	Fashion positive in Q4; record margins	Delivered
Q1 FY27 (new)	Keep fashion profitable; keep margins expanding; macro risk manageable	Fashion profitable again; EBITDA margin up ~2 points; growth accelerated	Delivered
Superstore	35%+ growth path	+28% this quarter; blamed partly on a tax-led price reset, said to normalise from Q3	Too-early
Across period	(Investor ask) hard margin guidance	Still gives only long-range goals	Dropped

Narrative drift: none this quarter. The same "beauty funds diversification, scale turns into margin" story was repeated and backed by the numbers. The one new move, buying the Aminu brand, fits the stated owned-brand roadmap shown at the recent investor day. Tone was confident but specific, with the Nike base effect openly discussed when an analyst raised it.

5. Bottom line: two verdicts

Durable earning trigger? → **YES** vs last quarter: unchanged
Nothing has weakened it; the new quarter added proof. Profit again grew more than twice as fast as sales, fashion stayed in the black, and owned brands kept growing above the group. The risk is not the trigger but the price, plus a likely cooling of fashion growth once the Nike boost laps from late FY27.

Management consistent? → **YES** vs last quarter: unchanged
The call repeated the same goals and showed delivery against them. Superstore still trails its stated growth path, and management still avoids hard short-term guidance, but promises and results continue to line up.

Sources: Nykaa Q1 FY27 earnings-call transcript (4 Aug 2026, via Screener.in); backstory from the Q4-2026 Concall Tracker report (17 calls, Q4 FY22 → Q4 FY26); Screener snapshot for market value. Not investment advice. Do your own due diligence.